KO 1 3.2.1 | Management & Leadership Styles

AQA A-LEVEL BUSINESS 7132 - UNIT 3.2 MANAGERS, LEADERSHIP AND DECISION MAKING

MANAGEMENT AND LEADERSHIP

Managers plan, organise, coordinate and control resources to achieve objectives. The focus is on systems and getting tasks done.

Leaders set direction and influence and inspire people, particularly during change.

A good manager is not always a good leader, and the other way round. Most senior roles need both.

FOUR LEADERSHIP STYLES

Autocratic - the leader decides alone and tells staff. Quick and clear, but can demotivate skilled staff.

Paternalistic - the leader decides, but in what they believe is the staff's best interest, and cares about their welfare. Builds loyalty but gives little real involvement.

Democratic - staff are consulted and involved. Brings in ideas and commitment, but decisions are slower.

Laissez-faire - the leader sets broad goals and leaves staff to decide how. Works with skilled, motivated staff; can lead to drift.

INFLUENCES ON STYLE

The leader's personality and experience.

The skills, experience and attitudes of the workforce.

How urgent the decision is - a crisis usually needs a more directive style.

The nature of the task (routine or creative) and the level of risk, e.g. safety.

The size and culture of the organisation.

HOW EFFECTIVE IS EACH STYLE?

No style works best in every situation. Autocratic leadership may suit a crisis or a large, inexperienced workforce. Democratic leadership suits creative work and change where staff support matters. Laissez-faire suits teams of experts, such as a research team.

Judge effectiveness by results: productivity, quality, staff turnover and morale.

EXAM TRAP

Don't describe laissez-faire as lazy leadership or assume democratic is always best. Each style can work well or badly depending on the staff and the situation.

ANALYSIS CHAIN

Democratic style → staff consulted on changes → feel valued and understand the reasons → less resistance → change implemented more smoothly → productivity may rise, though decisions take longer.

TOP GRADE CONNECTION

Match the style to the situation in the case. The same manager may need to be autocratic during a safety crisis and democratic when the team is redesigning a product.

KO 2 3.2.1 | The Tannenbaum Schmidt Continuum

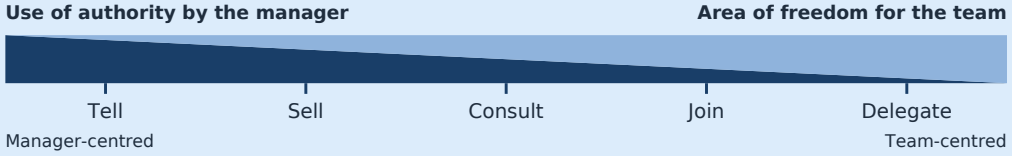
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WHAT IT SHOWS

A range of leadership behaviour, from manager-centred at one end to subordinate-centred at the other.

Moving along the continuum, the manager uses less authority and the team has more freedom to make decisions.

It is a scale, not two fixed styles - a manager can sit anywhere along it and can move for different decisions.



THE STAGES

Tell - the manager makes the decision and announces it.

Sell - the manager decides, then persuades staff it is right.

Consult - the manager presents the problem, listens to suggestions, then decides.

Join - the manager sets the limits and the group decides together.

Delegate - the team makes decisions within limits set by the manager.

WHAT DECIDES WHERE A MANAGER SITS?

The manager - their values and how much they trust the team.

The team - their skills, experience and whether they want responsibility.

The situation - time pressure, how complex the problem is, the level of risk and the culture of the business.

USING IT IN AN ANSWER

Place the manager's current approach on the continuum, then argue whether they should move towards tell or towards delegate given the decision in the case.

Moving towards delegate links to empowerment and to motivation in Unit 3.6 - Herzberg includes responsibility as a motivator.

EXAM TRAP

You can link the continuum to the four styles (tell is close to autocratic, consult to democratic, delegate to laissez-faire), but when a question names the model, use its own language.

ANALYSIS CHAIN

Move from tell to consult → staff ideas are used → better decisions and stronger commitment → but decisions take longer → a problem if the business must respond quickly.

TOP GRADE CONNECTION

The model describes leadership; it does not give you the right answer. Use the case to decide where the manager should be, and say what this depends on - time, staff skills and risk.

KO 3 3.2.2 | Scientific & Intuitive Decision Making

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SCIENTIFIC DECISION MAKING

Decisions based on data and a logical process: set objectives → gather data → analyse the data → select a strategy → implement → review, then back to the start.

Tools include decision trees, market research, break-even and investment appraisal.

Value - reduces risk, less influenced by bias and easy to justify to others.
Limits - data can be expensive, out of date or unreliable, and the process can be slow.

INTUITION

Decisions based on gut feeling, experience and judgement.

Useful when there is little data (a new product or market), when speed matters, or when the manager knows the market well.

Risks: personal bias, overconfidence and decisions that are hard to justify to investors or lenders.

RISK, REWARD, UNCERTAINTY, OPPORTUNITY COST

Risk - the chance that the outcome is worse than expected. It can often be estimated.

Uncertainty - when the possible outcomes or their likelihood cannot be known.

Reward - the expected benefit, such as profit or market share.

Opportunity cost - the next best alternative given up.

INFLUENCES ON DECISIONS

Mission and objectives.

Ethics - what is right, not only what is profitable.

The external environment, including competition.

Resource constraints: finance, staff, capacity and time.

Also the owners' attitude to risk and the quality of the information available.

EXAM TRAP

Scientific decision making does not guarantee a good decision. The result is only as good as the data and the assumptions behind it.

ANALYSIS CHAIN

Market research before a launch → better estimate of demand → right production volume → less unsold inventory → lower costs and higher profit.

TOP GRADE CONNECTION

Most real decisions use both: data narrows the options and experience makes the final call. Judge the balance by how reliable the data is and how quickly the decision has to be made.

KO 4 3.2.2 | Decision Trees

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HOW THEY WORK

A square is a decision point. A circle is a chance node, where outcomes have probabilities.

The probabilities at each chance node add up to 1.

Each outcome has a financial pay-off, and the cost of each option is shown on its branch.

Rejected options are crossed with a double line.

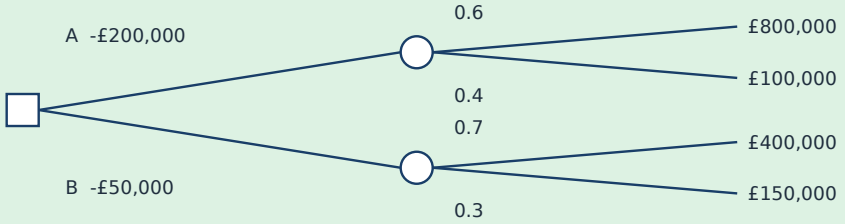
CALCULATIONS

Expected value (EV) = sum of (probability × pay-off) for each outcome.

Net gain = expected value - cost of the option.

If the objective is financial, choose the option with the highest net gain.

Show every step and include £ signs.



WORKED EXAMPLE

Option A - launch a new product, cost £200,000. Success (0.6) £800,000; failure (0.4) £100,000.

EV = (0.6 × £800,000) + (0.4 × £100,000) = £520,000. Net gain = £320,000.

Option B - upgrade the existing product, cost £50,000. Success (0.7) £400,000; failure (0.3) £150,000.

EV = (0.7 × £400,000) + (0.3 × £150,000) = £325,000. Net gain = £275,000.

VALUE AND LIMITATIONS

Value - sets out the options clearly, makes managers think about risk and puts numbers on each outcome.

Limitations - probabilities and pay-offs are estimates. The EV is an average and will never actually happen. It ignores qualitative factors such as staff and reputation, the owners' attitude to risk and when the returns arrive.

EXAM TRAP

Net gain is expected value minus cost, not total pay-off minus cost. Probabilities at a chance node must add up to 1 - check this first.

ANALYSIS CHAIN

Option A has the higher net gain → on the numbers it should be chosen → but if it fails the pay-off (£100,000) is less than its cost → a business short of cash may prefer option B.

TOP GRADE CONNECTION

Look at the spread of outcomes, not just the expected value. A cautious or cash-poor business may sensibly choose the option with the lower net gain. Ask where the probabilities came from.

KO 5 3.2.3 | Stakeholders: Needs, Overlap & Conflict

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WHO ARE STAKEHOLDERS?

Individuals or groups who affect, or are affected by, the business.

Internal - employees, managers, owners and shareholders.

External - customers, suppliers, lenders, the local community, government and pressure groups.

Shareholders own part of a company. They are one type of stakeholder.

WHAT THEY WANT

Shareholders - dividends and a rising share price.

Employees - fair pay, job security, good conditions.

Customers - quality, value for money, good service.

Suppliers - regular orders and prompt payment.

Community - local jobs, low pollution and congestion.

Government - tax, jobs and legal compliance.

OVERLAP

Needs often overlap. A successful, profitable business can pay dividends, protect jobs, pay suppliers on time and pay tax.

Staff who are treated well tend to give better service, which helps customers and, in turn, shareholders.

Interests are more likely to overlap in the long run.

CONFLICT

In the short run, interests often clash: higher pay against higher dividends; lower prices against margins; relocating to cut costs against local jobs; paying suppliers later against suppliers' cash flow.

Businesses consider stakeholder needs to avoid strikes or boycotts, protect their reputation, meet the law and secure long-term success.

EXAM TRAP

Stakeholders and shareholders are not the same. Don't just list stakeholders - pick the ones the decision in the case actually affects and explain how.

ANALYSIS CHAIN

Factory closed to cut costs → shareholders gain from higher profit → local staff lose their jobs → bad publicity → customers in the area switch → some of the cost saving is lost.

TOP GRADE CONNECTION

Whether a conflict matters depends on the time period and on power. Many conflicts fade in the long run, when treating staff and suppliers well also supports profit.

KO 6 3.2.3 | Stakeholder Mapping & Managing Relationships

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STAKEHOLDER MAPPING

Places stakeholders on a grid by **power** (ability to influence decisions) and **interest** (how much they are affected or care).

High power, high interest - manage closely.

High power, low interest - keep satisfied.

Low power, high interest - keep informed.

Low power, low interest - monitor, minimal effort.

USING THE MAP

Helps managers decide where to spend time and how to communicate with each group.

Shows who could block or delay a decision.

Positions change. A community group can gain power through media coverage; employees can gain power through union action.



COMMUNICATION AND CONSULTATION

Communication - passing on information, e.g. newsletters, meetings, press releases, reports to investors.

Consultation - asking for views before deciding, e.g. talking to staff before redundancies or holding meetings with residents before building.

Consultation can improve decisions and reduce resistance, but it takes time and can raise expectations.

INFLUENCES ON THE RELATIONSHIP

The objectives and ethics of the business.

Leadership style and culture.

The power of each group.

Legal requirements, e.g. consultation before large-scale redundancies.

The financial position of the business.

EXAM TRAP

Power and interest are separate. A regulator may have great power but little interest in a small firm, while local residents can be very interested but have little power.

ANALYSIS CHAIN

Consult staff early on a restructure → concerns heard and plans adjusted → less resistance and lower risk of industrial action → change happens faster and at lower cost.

TOP GRADE CONNECTION

The map is a snapshot. Ask how a group's position could change - for example social media giving customers more power - and what that means for the decision.